23. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three and six months ended June 30, 2018 and 2017 are calculated as follows:

(1) Ordinary Shares

	June 30, 2018		June 30, 2017	
(In millions of Korean won and thousands of number of shares)	3 Months	6 Months	3 Months	6 Months
Profit attributable to owners of the Parent company	₩ 10,981,547	₩ 22,593,380	₩ 10,799,942	₩ 18,288,474
Profit available for ordinary shares	9,651,206	19,856,343	9,478,704	16,050,504
Weighted-average number of ordinary shares outstanding	5,969,783	5,971,125	6,074,711	6,097,536
Basic earnings per ordinary share (in Korean won)	₩ 1,617	₩ 3,325	₩ 1,560	₩ 2,632

(2) Preference Shares

	June 30, 2018		June 30, 2017	
(In millions of Korean won and thousands of number of shares)	3 Months	6 Months	3 Months	6 Months
Profit attributable to owners of the Parent company	₩ 10,981,547	₩ 22,593,380	₩ 10,799,942	₩ 18,288,474
Profit available for preference shares	1,330,341	2,737,037	1,321,238	2,237,970
Weighted-average number of preference shares outstanding	822,887	823,199	849,144	854,850
Basic earnings per preference share (in Korean won)	₩ 1,617	₩ 3,325	₩ 1,556	₩ 2,618

(B) Diluted earnings per share

The Company does not have dilutive potential ordinary shares and as a result, basic earnings per share and diluted earnings per share are the same for the three and six months ended June 30, 2018 and 2017.

24. Cash Flows

Adjustments and changes in assets and liabilities arising from operating activities for the six months ended June 30, 2018 and 2017 are as follows:

- Adjustments

(In millions of Korean won)	2018	2017
Adjustments for:		
Income tax expense	₩ 8,850,787	₩ 5,838,636
Financial income	(2,943,011)	(1,834,235)
Financial expenses	2,195,581	1,242,698
Post-employment benefits	468,167	477,096
Depreciation	12,087,806	9,615,760
Amortization	678,061	771,910
Bad debt expenses (Reversal)	(42,734)	146,386
Dividend income	(74,964)	(73,400)
Gain on valuation of equity method	(170,671)	(41,691)
Gain on disposal of property, plant and equipment	(247,140)	(37,358)
Loss on disposal of property, plant and equipment	47,925	65,060
Obsolescence and scrapping of inventories	1,034,038	769,841
Gain on disposal of investments	(10,737)	(114,497)
Other income/expenses	34,335	23,012
Total	₩ 21,907,443	₩ 16,849,218

- Changes in assets and liabilities arising from operating activities

(In millions of Korean won)	2018	2017
Changes in assets and liabilities :		
Decrease(Increase) in trade receivables	₩ 1,667,731	₩ (2,378,447)
Decrease in other receivables	980,459	112,720
Decrease(Increase) in advance payments	16,386	(183,539)
(Increase) decrease in prepaid expenses	(263,272)	763,798
Increase in inventories	(3,149,586)	(4,880,235)
(Decrease)Increase in trade payables	(639,687)	2,033,038
Decrease in other payables	(2,975,268)	(1,398,283)
Decrease in advances received	(183,519)	(112,978)
Increase in withholdings	59,821	110,462
Decrease in accrued expenses	(3,600,100)	(3,053,028)
Increase in provisions	1,548,783	1,753,676
Payment of post-employment benefits	(191,205)	(281,697)
Other	(1,611,966)	(1,337,604)
Total	₩ (8,341,423)	₩ (8,852,117)